

infancy, people attempting to provide exchange services were often not equipped to do so.

The first exchange on record was seeded with a transfer of 5,050 bitcoin for \$5.02, and actually ended up shutting down a few months later due to a lack of interest.¹⁶ Mt. Gox was the first *mainstream* exchange, but it took two weeks for a customer's account to be cleared, and initially fiat currency had to be wired to Japan. However, as the assets and underlying technology have matured, so too have the means of buying and selling them. To this end, today numerous quality exchanges are available to investors looking to gain and transact the more than 800 cryptoassets that currently exist.¹⁷

Some of the most popular Western exchanges include Bitstamp, Bittrex, Global Digital Asset Exchange (GDAX), Gemini, itBit, Kraken, and Poloniex. BTCC, OKCoin, and Huobi dominate China, but also offer services in other geographic locations. There are country-specific exchanges, such as Bitso in Mexico, Unocoin in India, and BitBay in Poland.¹⁸

When deciding which exchange to use, a key trade-off needs to be considered: security versus access. Security is self-explanatory. By access we refer to the diversity of cryptoassets on offer. The most regulated exchanges, such as Bitstamp, GDAX, and Gemini, offer the fewest cryptoassets because they wait to ensure an asset is past a certain level of maturity before adding it to their platform. Other exchanges, such as Poloniex or Bittrex, add assets much earlier in their lives, so more aggressive or adventurous traders tend to use these